



Investor Update 1H21 Half Year Results



Company Overview

'Protecting your brakes from the environment, protecting the environment from your brakes'

Over 20 years experience and the **original manufacturer** of sealed wet brake technology

Designed, developed, tested and manufactured **in Australia**

Heavy duty braking solutions to the **mining, defence, waste management and civil construction** industries with further diversification underway

Focused on **innovation, safety and environmental responsibility** and reduction in downtime costs and increased **operational efficiencies for our customers**



WE BELIEVE IN SAFETY – IT IS CENTRAL TO EVERYTHING WE DO

Through embracing 'Safety Principles' in everything we do, we aspire to create prosperity for everyone that is touched by our business.

We aim to produce and sell innovative braking solutions with the commitment to promoting sustainable business practices that protect people and the environment.

Results Overview

Significant inroads to improve the business performance in a challenging operating environment

Sales Revenue

\$4.8m

10% on pcp

Gross Margin

44.7%

Cash Balance

\$1.48m

\$0.51m at June '20

**Growing Blue Chip
Customer Base**

**Substantially
debt free**

**First long term supply
contract**

Market Overview

Growing global distribution and customer network

ABT is well-positioned to take innovative solutions to market and capture additional business development opportunities globally

Sales & Distribution network covering

>16 countries

>20 years

experience and the original
manufacturer of sealed
brake technology

Further growth

planned through expansion of our
Australian and international
footprint



Value proposition

The ABT product portfolio provides solutions to a number of identified problems

Problems identified

Damage suffered to OEM braking systems operating in harsh off-road environments

- Abrasion and corrosion - contamination by dust, mud, chemicals leading to premature brake wear, poor and often unsafe braking performance

Unintended vehicle movements

- Risk to both people and equipment due to vehicle roll aways

Impact to both people and the environment

- Harmful brake dust emissions

ABT solution

Enclosed and sealed braking systems

- Prevents contaminants from causing premature brake wear and poor braking performance

Failsafe technology

- Spring applied hydraulic release, failsafe capability

Wet brake technology

- Fluid filled braking system

Customer benefits

- Significantly **improved safety** for both people and equipment
- Improved Total Cost of Ownership through **reduced maintenance costs**
- **Increased vehicle uptime** & fleet availability
- **Excellent braking performance** even in the harshest operating conditions
- Zero brake particulate emissions **improves safety and lowers environmental impact**
- Improved heat management results in **reduction in brake fade and bearing overheating**

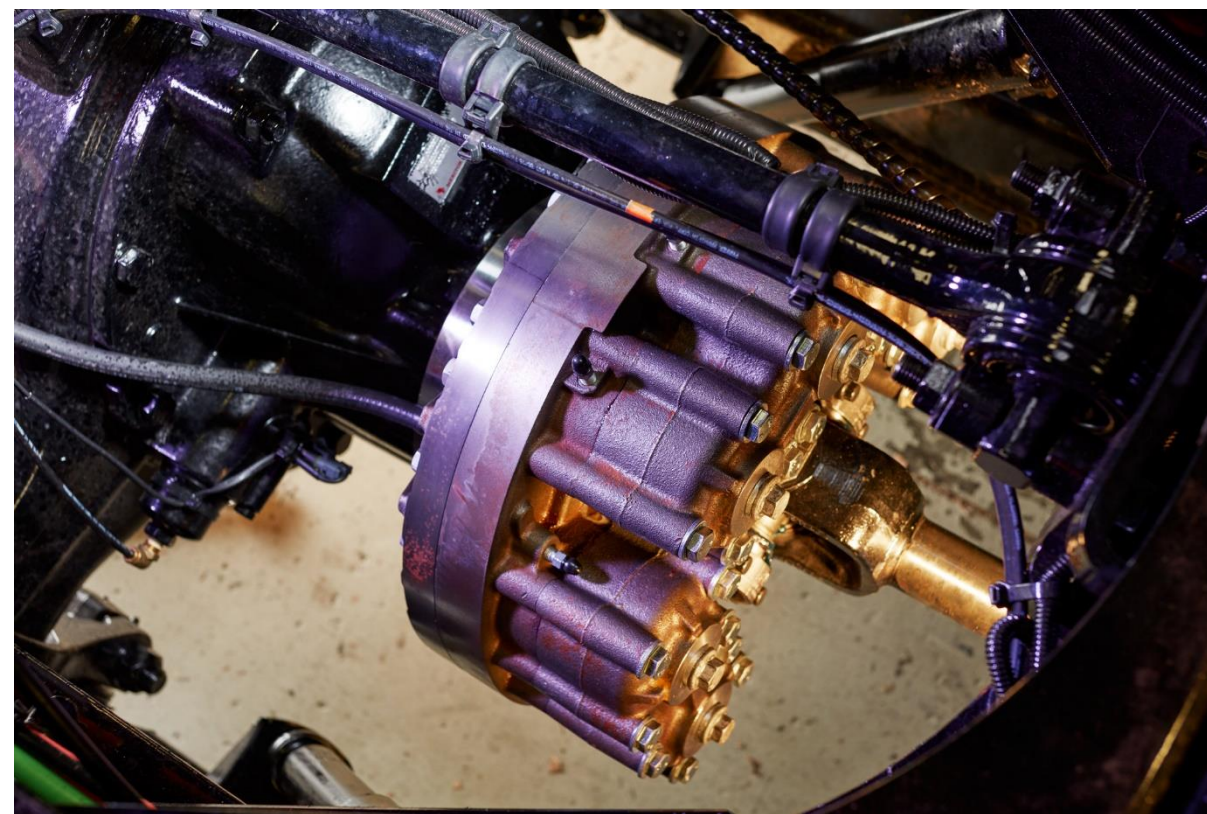
For personal use only

Product and Customer Overview

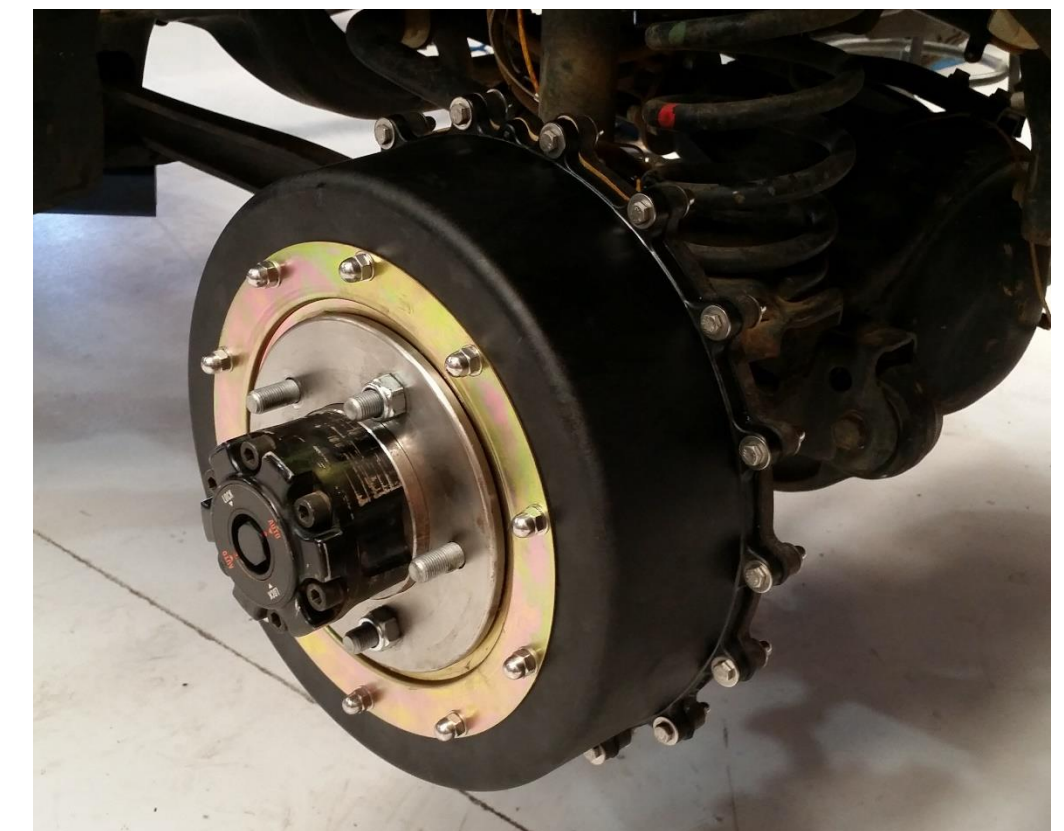
Current core products



Fully Sealed With
Failsafe Capability



Failsafe Driveline Brakes



Terra Dura ® Fully Sealed
For Durability

Current core products

Product portfolio suitable for a number of different applications



- **Maximum safety** 4WD brake
- **Fully enclosed** wet brake design equipped with **failsafe technology**
- Exceptional **reliability and durability, with low maintenance requirement**
- **Mandated for use** in many underground mines to prevent vehicle runaway
- Field proven by **blue-chip customers for 20+ years**
- **Zero brake dust emissions**
- Now in 4th generation



- **Maximum safety driveline** brake
- Contains all the safety features of Failsafe
- Technology suitable for numerous applications from underground mining to high speed open road use
- **Mandated for use** in many underground mines to prevent vehicle runaway
- Field proven by **blue-chip customers for 20+ years**
- **Zero brake dust emissions**



- **Exceptionally durable** 4WD brake
- **Fully enclosed** design protects internal brake components from abrasion and corrosion
- Sealed design specifically for **harsh** environments (mining, construction, agriculture & off-road)
- Provides **significant costs savings**
- **Zero brake dust emissions**
- **Updated product launch in June 2019** – greatly improved durability and reliability

Product innovation

ABT continues to innovate to secure new market opportunities across a range of industries



Design, prototype testing and long-term supply agreement with Thales Australia for a **hill-hold brake** for use on the Hawkei light protected vehicle

Design, prototype testing and deployment within Fortescue Metals Group for a dry **driveline brake** for use on a fully autonomous light vehicle application



Continuous improvement of original design concept

- design review undertaken
- metal cover version released to market for use within the most extreme operating environments
- International patent for improved concept design lodged

Future innovation will focus on continuous improvement of our existing product portfolio to address the automotive megatrends of autonomous, electric and connected vehicles

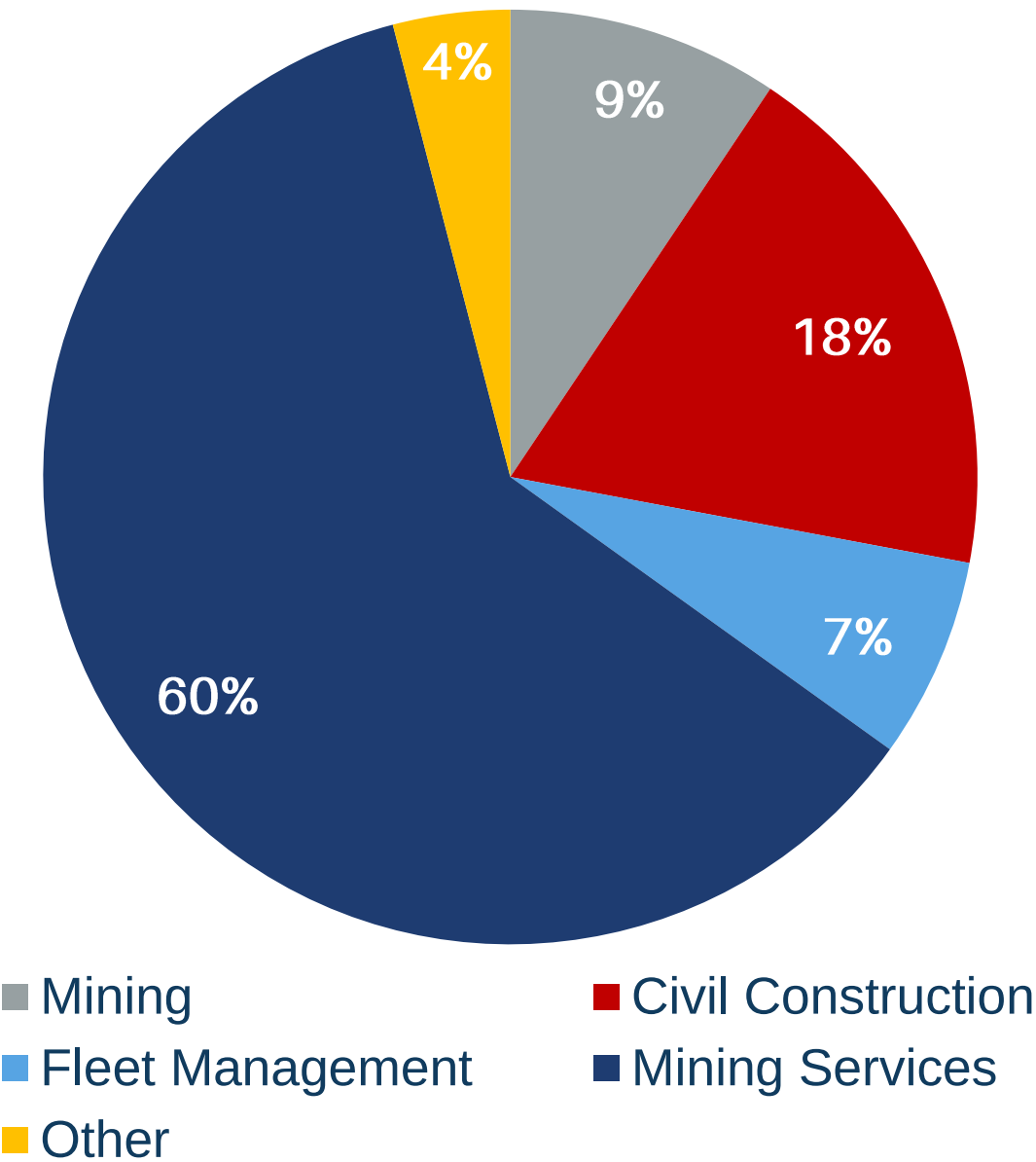
Customers and end users

ABT continues to grow its blue chip customer base



Product, customer and industry diversification

Sales by Industry (rolling 12 months)



THALES



CLEANAWAY



WestConnex M4-M5 Link Tunnels



Pipeline Opportunities

Sales pipeline and forward order book remains strong

Product Opportunities

Failsafe

Penetration into non-ABT mine sites

Failsafe mandated mine sites creating opportunities with new vehicle applications requiring Failsafe capability

New international markets engaged – Chile, Indonesia, Zambia, New Caledonia, Botswana

Terra Dura

Metal cover variant "Terra Dura X" released to market

Targeting "sweet spot" opportunities within wet/abrasive operating environments

Engagement with non-traditional ABT customer base (eg salt, bauxite)

New international markets engaged – Chile, Indonesia, New Caledonia

Industry Opportunities

Global Mining

Failsafe mandated mine sites

High maintenance environments

Autonomous vehicle applications

Civil Construction

Foothold gained within tunneling projects in Australia

Other

Defence:
Hawkei Project

Rail:
Hi-Rail applications

Environmental:
Brake dust emissions

Financial Performance

Financial performance

- Total revenue of \$5.13 million, up 10.8% on previous corresponding period (pcp)
- Operating Sales increased to \$4.76 million, up 10.4% on pcp with product sales margins of 44.7% broadly stable compared to pcp of 46.2%
- Net Profit result of \$0.24 million (1H20: (\$0.006 million))
- Positive EBITDA result of \$0.39 million (1H20: \$0.32 million) a 23% increase on pcp
- ABT received approximately \$0.1 million in COVID-19 related financial assistance payments, provided by both the Federal and Western Australian governments

	1H21	1H20	Change
Total Revenue	\$5.13m	\$4.62m	10.8%
Operating Revenue	\$4.76m	\$4.31m	10.4%
Gross Margin	44.7%	46.2%	(3.3%)
Total Expenses	\$2.26m	\$2.32m	(2.5%)
EBITDA	\$0.39m	\$0.32m	22.8%
Profit / (Loss) for the period	\$0.24m	(\$0.006m)	n/a

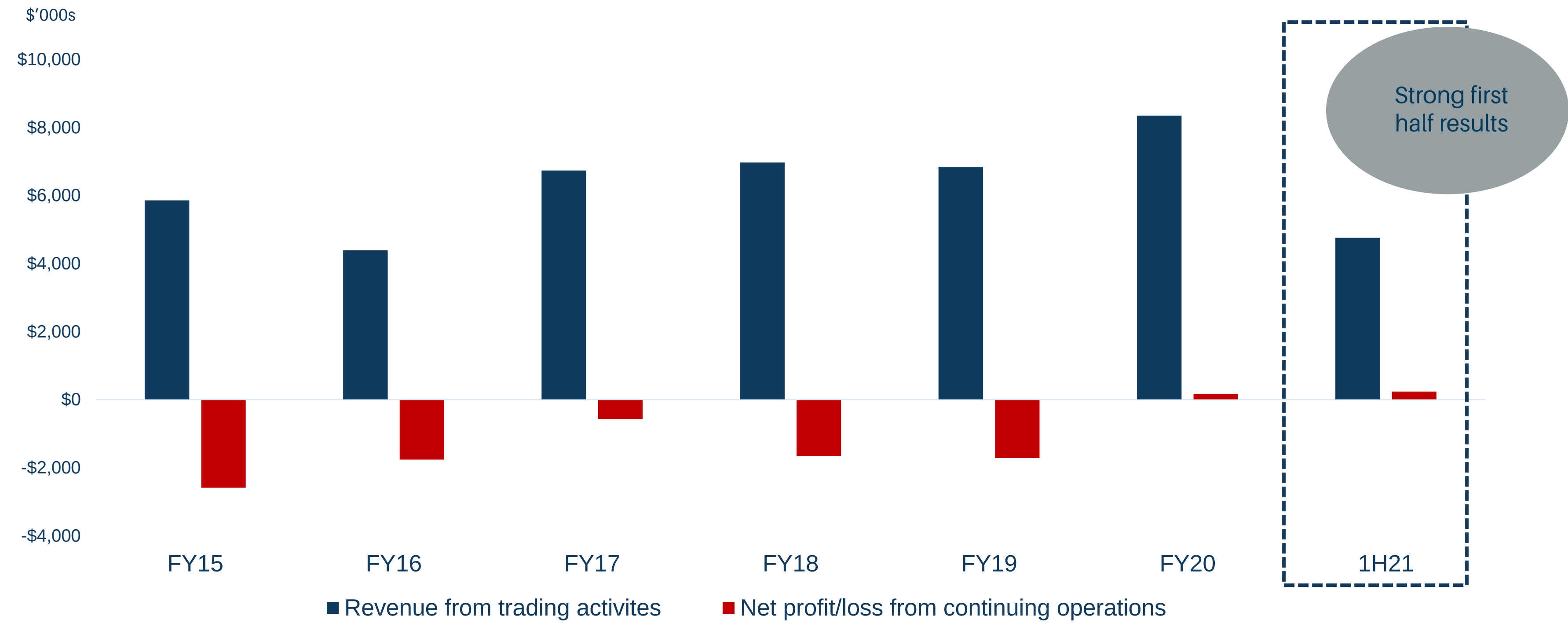
Cash Flow performance

- Improved cash position of \$1.48 million following three consecutive quarters of positive cashflow
- Retired significant proportion of its debt in 1H20 materially reducing the Company's ongoing finance costs
- Improved sales and focus on cost management alongside receipt of the tax offset for R&D of \$0.53 million allowed the business to grow the cash balance, resulting in an improved cash position of \$1.48 million

(\$m)	1H21	1H20
Net cash from operating	1.00	0.54
Net cash from investing	(0.02)	0.65
Net cash from financing	(0.01)	(0.49)
Cash balance	1.48	0.84

Improving financial position

For personal use only



Strategy and Outlook

Strategy

By 2023

Generate material growth in both revenues and earnings by offering innovative braking solutions to a global customer base

LEVERAGE our
existing product
range and
historical R&D

DISTRIBUTION
supplier
networks,
geographical
coverage and
customer support

DIVERSIFY
products,
services,
customers,
industries and
countries

INNOVATION
product
development and
R&D based on
safety, the
environment and
voice of customer

GROWTH
through organic
and inorganic
growth
opportunities

**ORGANISATIONAL
CAPABILITY**
people, values,
culture and
branding

**CAPITAL
ALLOCATION** of
costs, resources,
ROI

Deliver shareholder value

A strong future

Recent progress to support our strategy

- ✓ Leadership team and internal capability strengthened
- ✓ Significantly improved financial position; increased sales and cost management
- ✓ Substantially debt free
- ✓ Cash flow and EBITDA positive and net profit result achieved
- ✓ Product innovation and diversification; new products released to market
- ✓ Customer diversification; first long term supply agreement achieved
- ✓ Industry diversification; sales revenue from new industries achieved
- ✓ Patent portfolio strengthened; international patent lodged

Outlook for FY21

The foundations for growth are now in place

- Continue to drive:
 - **Innovation;**
 - **Diversification** by leveraging our current product offering to both existing and new customers across a range of industries, and;
 - **Organic and inorganic growth** opportunities.
- Expand our **Australian and international distribution footprint** by partnering with local businesses within key geographic regions
- Continue to **improve financial performance**
- Investigate further opportunities that will allow ABT to **achieve size and significantly upscale** through acquisitions, strategic partnerships or joint ventures
- Position ABT for the future to participate in the **automotive megatrends** of automated, electric and connected vehicles



Appendices

Board and Management Team



Dagmar Parsons
Non-Executive Chair



David Slack
Non-Executive Director



Adam Levine
Non-Executive Director



Mark Lindh
Non-Executive Director



John Annand
Chief Executive Officer

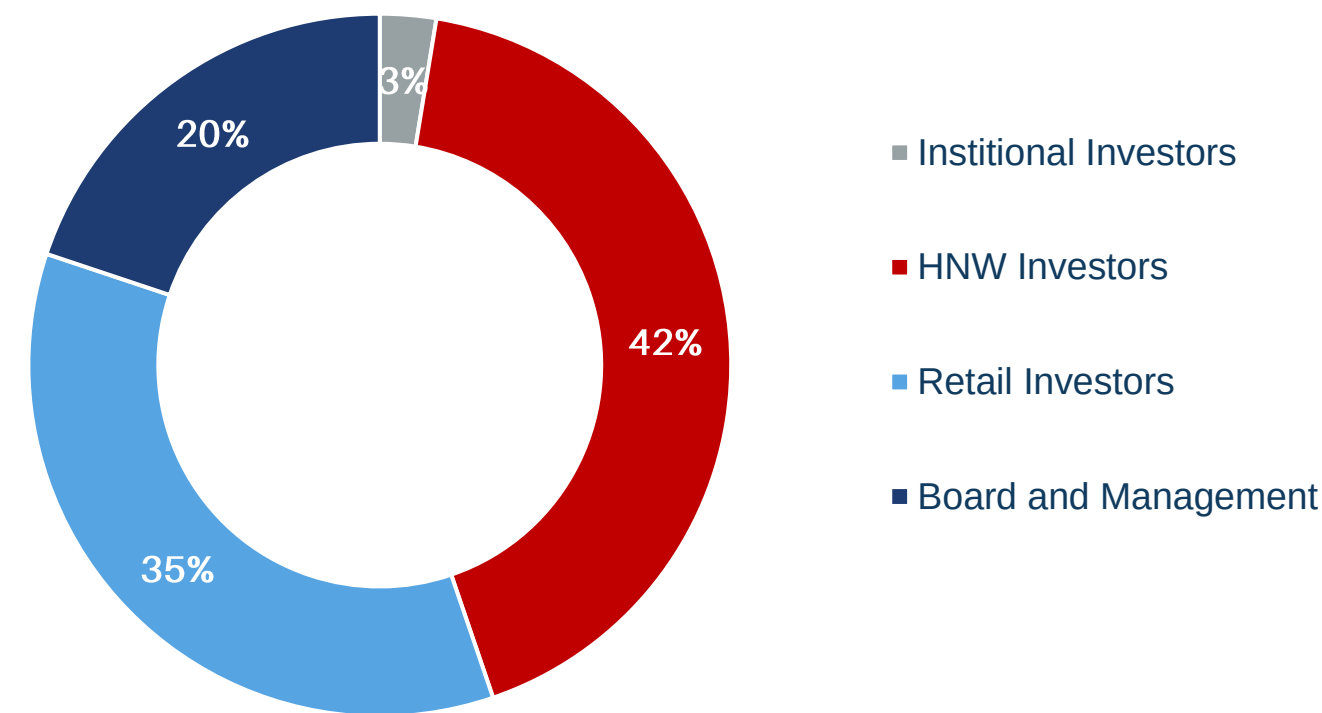


Paige Exley
Chief Financial Officer

Corporate Overview

ABT is substantially debt free with a supportive register

Top 50 share registry breakdown



Board of Directors

Dagmar Parsons	Non-Executive Chairman
David Slack	Non-Executive Director
Mark Lindh	Non-Executive Director
Adam Levine	Non-Executive Director

Substantial Shareholders

Keith Knowles/Parks Australia	24.13%
David Slack	18.24%
Total	42.37%

Financial Information

Share price as of March 5, 2021	4.7 cents
Ord Share on Issue (M)	379.1
52-week trading (low/high)	0.015/0.130
Market Cap (\$M)	\$17.81
Cash (30 December 2020)	\$1.48M
Debt (30 December 2020)	nil

For further information, please contact:

Corporate

Mr. John Annand

Chief Executive Officer

T: +61 (0) 8 9302 1922

Investors

Stephanie Ottens

Market Eye

T: +61 (0) 434 405 400

Disclaimer

The material contained in this presentation sets out general background information

It does not constitute or contain an offer or invitation to subscribe for or purchase any securities nor does it constitute an inducement to make an offer or invitation with respect to those securities. No agreement to subscribe for or purchase securities will be entered into on the basis of this presentation.

The information supplied is in summary form and does not purport to be complete. You should neither act nor refrain from acting in reliance on this presentation material. This overview does not purport to contain all information that its recipients may require in order to make an informed assessment of the prospects. You should conduct your own investigation and perform your own analysis in order to satisfy yourself as to the accuracy and completeness of the information, statements and opinions contained in this presentation and when making any decision in relation to this presentation.

The information in this presentation does not take into account the objectives, financial situations or needs of any particular individual. You should consider seeking independent professional advice based on your own objectives.

All statements, other than statements of historical fact, included in this presentation are forward-looking statements. They involve subjective judgement, assumptions and analysis and are subject to significant risks, uncertainties and other factors. Accordingly, there can be no assurance that such statements or expectations will prove to be accurate and actual results and future events may differ materially from those anticipated or described in this presentation.

Historic information is not an indication or representation of the future.

To the extent permitted by law, Advanced Braking Technology Ltd and its representative officers, employees, agents and advisers give no warranty, representation or guarantee as to the accuracy, completeness or reliability of the information contained in this presentation. Further, none of Advanced Braking Technology Ltd and its respective officers, employees, agents and advisers accept, to the extent permitted by law, responsibility for any loss, claim, damages, costs, or expenses arising out of, or in connection with, the information contained in this presentation.